



One-Close Construction Eligibility Standards

PROGRAM SUMMARY

Flagstar's *Conforming One-Close Construction*, [Doc #5717](#) is a conforming one-time close 6, 9 or 12 month construction term program allowing for payment of interest-only during construction. *The Jumbo One Close Construction, Doc. #5724 is a 12, 18, and 24 month term program.* The note will be modified upon completion of improvements to a fully amortized principal and interest payment. Soft costs (architectural, engineering and permit fees) may be financed, closing costs may not. Full third party builder contracts only. All loans close in the name of Flagstar Bank.

SPONSORSHIP

Customers must be sponsored by their Flagstar Account Executive to participate in Flagstar's construction programs.

TRAINING

All loan originators and processors involved in the origination of Flagstar's products must attend a mandatory training session prior to receiving eligibility to register and submit loans. Training sessions are hosted by Flagstar's Lending Training team on a regular basis via webinar.

VOLUME

Flagstar will require origination of a minimum of 4 construction loans in 12 month period following training for customers to remain eligible to originate the product. Volume will be measured at a company level.

ORIGINATOR RESPONSIBILITIES

Originators will be required to attend a call with Flagstar's Construction department approximately one week prior to close to set expectations with all parties, including the borrower and the builder.

Additionally, from time to time Flagstar may ask for the customer's assistance to contact the borrower for additional information during or after the construction period, i.e. after closing.

REQUALIFICATION

Under the parameters of the program, borrowers may be required to requalify for the loan as construction is being completed. *All jumbo loans will be requalified.* See product description for complete details.

In the event a borrower needs to requalify, a Flagstar sales assistant will be contacting the originator once construction is approximately 75% complete. The originator will have the option of contacting borrower directly or having Flagstar sales assistant coordinate to obtain necessary documentation from the borrower (e.g. income, assets, etc.) for requalification.

ELIGIBILITY

Notwithstanding the training and minimum volume requirements, Flagstar in its sole discretion reserves the right to terminate eligibility for originators and/or customers to originate its One-Close Construction product.

REPRESENTATIONS AND WARRANTIES

All representation and warranties included in Flagstar's Loan Purchase Agreement and Sellers Guide remain in full force and effect.